

PHARMACEUTICAL COLD-CHAIN LOGISTICS SERVICES AGREEMENT

Contract Reference: **CT-2023-014**

Effective Date: 1 January 2023 | Initial Term: 24 months (expires 31 December 2024)

CLIENT: Tamween Pharma Distribution, Riyadh, KSA

SERVICE PROVIDER: Gulf Cold-Chain Logistics Co, Dammam, KSA

Vendor ID: V-1199

1. Services

Pharmaceutical cold-chain logistics services including 2-8°C and -20°C transportation from port of Jeddah and Dammam to TDC central distribution centre, regional line-haul to 12 warehouses, last-mile distribution to retail pharmacies and hospitals, and reverse logistics for expired and damaged stock. All vehicles GDP-WHO compliant.

2. Pricing — Base Schedule

Base monthly service fee SAR 188,000 (Schedule B, 2023 schedule). SAR-denominated.

3. Term, Renewal, and Rate Escalation — IMPORTANT

3.1 Initial Term. Twenty-four (24) months commencing 1 January 2023, expiring 31 December 2024.

3.2 Automatic Renewal. *This Agreement shall automatically renew for successive one (1) year terms unless terminated by either Party giving not less than ninety (90) days' written notice prior to the end of the then-current term.*

3.3 Rate Escalation on Renewal. *Upon each automatic renewal the Service Fees set forth in Schedule B shall escalate annually by the Saudi Consumer Price Index (CPI) plus three percent (3%), with no cap on the cumulative escalation.* The CPI figure shall be that published by GASTAT for the calendar year immediately preceding the renewal.

3.4 Worked example. If 2025 KSA CPI is 2.5%, the 2026 renewal escalation is $2.5\% + 3\% = 5.5\%$ above the 2025 fee. If the same dynamic recurs in 2027, escalation again compounds on the 2026 fee.

4. Invoicing & Payment

Monthly invoices issued on the first business day of each month. Net 30 payment.

5. Service Levels

On-time-in-full (OTIF) $\geq 96\%$ and cold-chain integrity rate $\geq 99\%$. Liquidated damages 0.5% of monthly fee per percentage point below target.

6. Governing Law

Laws of KSA; SCCA arbitration.

For and on behalf of Tamween Pharma
Distribution

For and on behalf of the Supplier

Authorised Signatory

Name:

Title:

Date:

Authorised Signatory

Name:

Title:

Date: